EU-China Summit: moving forward with our global partnership

Brussels, 2 June 2017

President **Juncker**, along with Donald Tusk, the President of the European Council, represented the European Union at the Summit. The People's Republic of China was represented by its Premier, Li Keqiang. The High Representative of the Union for Foreign Affairs and Security Policy/Vice-President of the Commission, Federica **Mogherini**, Trade Commissioner, Cecilia **Malmström**, and Commissioner for Research, Science and Innovation, Carlos **Moedas**, as well as the Minister of Foreign Affairs, Wang Yi also attended the Summit.

Delivering for a stronger partnership

During the Summit, a number of agreements were signed that will concretely strengthen what is already a comprehensive relationship. In addition, several EU-China meetings covering specific policy areas, held in the margins of the Summit, also brought positive outcomes.

Climate action:

At the Summit, EU and Chinese leaders reaffirmed their commitment to implementing the 2015 Paris Agreement on climate change and, as major energy consumers and importers, highlighted the importance of fostering cooperation in their energy policies.

At the joint press conference following the Summit, President of the European Commission Jean-Claude **Juncker** said: *"As far as the European side is concerned, we were happy to see that China is agreeing to our unhappiness about the American climate decision. This is helpful, this is responsible, and this is about inviting both, China and the European Union, to proceed with the implementation of the Paris Agreement."*

EU and Chinese leaders also looked forward to co-hosting, along with Canada, a major ministerial gathering in September to advance the implementation of the Paris Agreement and accelerate the clean energy transition.

Business:

In the margins of a productive Summit, during which leaders were able to constructively discuss topics across the entire spectrum of EU-China relations, the **12th EU-China Business Summit** provided an opportunity for EU and Chinese leaders to exchange views with representatives of the business community on economic relations between the European Union and China and on the challenges that remain.

In his keynote speech, President **Juncker** said: "*Our relationship is founded on a shared commitment to openness and working together as part of a rules-based international system. I am glad that we can meet here today and say this, loud and clear. It is one that recognises that together we can promote prosperity and sustainability at home and abroad. We applaud the ambition of China's reform path. We recognise that reforms have been made and that plans have been established. But we would like to see implementation speed up – so that your policies are in line with your world vision.*"

In her speech, Commissioner **Malmström** stressed that: "*Sound economic development, trade and investment also require respect for the rule of law, with independent lawyers and judges who can operate freely and independently. To conduct business — and for their daily lives — people need to be able to access free and independent information, communicate and discuss. This is a fundamental human right which also applies in the age of the internet. Limits to online freedom also affect peoples' lives and the business climate.*"

Regional and global challenges:

Discussions at the Summit demonstrated the shared commitment of both the European Union and China to addressing regional and global challenges such as climate change, common security

threats, the promotion of multilateralism, peacekeeping and peace-building. Comprehensive discussions took place between the Summit participants on how to advance cooperation and joint action in the area of **foreign and security policy**, in particular on the situations on the Korean Peninsula, in Ukraine, Afghanistan and Syria, on the implementation of the Joint Comprehensive Plan of Action, and on Myanmar.

Competition policy:

European Commissioner Margrethe **Vestager**, in charge of competition policy, and He Lifeng, Chairman of China's National Development and Reform Commission, signed a **Memorandum of Understanding to start a dialogue on state aid control**. The state aid dialogue creates a mechanism of consultation, cooperation and transparency between China and the EU in the field of state aid control. A full press release on this Memorandum of Understanding is available here.

Investment:

The **European Investment Fund (EIF),** part of the European Investment Bank Group, and China's Silk Road Fund (SRF) have signed a Memorandum of Understanding with the aim of jointly investing in private equity and venture capital funds that will, in turn, invest in small and medium-sized enterprises (SME) located primarily in the EU. The European Commission and China's National Development and Reform Commission have played an important role in supporting the negotiations which led to the signature of the Memorandum of Understanding. The total expected commitment amounts to €500 million, of which €250 million would be financed from the EIF and €250 million from the SRF. The signature follows the commitment made by China at the High-Level Economic and Trade Dialogue in 2015 to examine opportunities to contribute to the Investment Plan for Europe, the so-called "Juncker Plan" and enhance cooperation with the EU on investment issues generally. The initiative would complement the SME window of the Juncker Plan's European Fund for Strategic Investments (EFSI), which is already expected to facilitate access to finance for some 416,000 small businesses across Europe.

Energy cooperation:

Following the EU-China **High Level Energy Dialogue**, which took place this morning, Commissioner for Climate Action and Energy Miguel **Arias Cañete** and Mr Nur Bekri, Vice-Chairman of the National Development and Reform Commission and Administrator of the National Energy Administration of China signed the **Work Plan 2017-2018 of the Technical Implementation of the EU-China Roadmap on Energy Cooperation**. This Roadmap, agreed in June 2016, commits both sides to tackling common energy and climate challenges, including security of energy supply, energy infrastructure and market transparency. The Roadmap lays the foundations for sharing best practices with regards to energy regulation, demand and supply analysis, energy crisis, and nuclear safety, as well as grid design and the integration of renewable energy into the electricity grid.

Connectivity:

The second meeting of the **EU-China Connectivity Platform** enabled progress on: (i) policy exchange and alignment on the principles and the priorities in fostering transport connections between the EU and China, based on the TEN-Ts framework and the Belt and Road initiative, and involving relevant third countries; (ii) cooperation on promoting solutions at the international level with a focus on green transport solutions; (iii) concrete projects based on agreed criteria including sustainability, transparency and a level-playing field. The joint agreed minutes of the Chairs' meeting are available here, along with the list of European transport infrastructure projects presented under the EU-China Connectivity Platform.

Customs:

European Commissioner for Economic and Financial Affairs, Pierre **Moscovici**, and the Minister of Customs of China, Mr Yu Guangzhou signed a **Strategic Framework for Customs Cooperation for the years 2018 – 2020**, setting out the priorities and objectives for EU-China customs cooperation for the years ahead. The framework's priority areas of focus are protecting citizens and combating illegal trade through effective customs controls, at the same time speeding up and reducing administrative burdens on legitimate trade. The Framework supports continued cooperation on supply chain security while facilitating reliable traders, the enforcement of Intellectual Property Rights, and the fight against financial and environmental fraud. Cooperation has also now been extended to the field of e-commerce. More details are available online.

Trade and agriculture:

Commissioner **Malmström and her Chinese counterpart, the Minister of Commerce, Mr Zhong Shan, signed important documents covering the protection of intellectual property and geographical indications.**

The administrative arrangement related to EU-China cooperation on the **protection and enforcement of intellectual property rights** aims to ensure smooth cooperation between the European Commission and the Ministry of Commerce of China in the implementation of the new phase of the programme "Intellectual Property: A Key to Sustainable Competitiveness". This programme has, since 2013, been the European Commission's main instrument to address legal challenges faced by EU businesses in China. These include, for example, patents, trademarks, and industrial designs. The new phase, funded under the Partnership Instrument, will run from 1 September 2017 until 2021.

Commissioner **Malmström, on behalf of the European Commissioner for Agriculture, Phil Hogan,** and on the Chinese side, Mr Zhong, also signed an agreement committing both the European Union and China to publish, on 3 June, a list of one hundred European and Chinese **geographical indications**. This publication opens the process for protecting the listed products against imitations and usurpations and is expected to result in reciprocal trade benefits and increased consumer awareness and demand for high-quality products. More information on this agreement is available online.

Research and innovation:

In the field of research and innovation, the European Union and China have agreed to boost their cooperation with a new package of flagship initiatives targeting the areas of food, agriculture and biotechnologies, environment and sustainable urbanisation, surface transport, safer and greener aviation, and biotechnologies for environment and human health. These initiatives will translate into a number of topics for cooperation with China under Horizon 2020, the EU's funding programme for research and innovation. The 3rd **EU-China Innovation Cooperation Dialogue**, co-chaired by Carlos **Moedas**, Commissioner for Research, Science and Innovation, and Wan Gang, China's Minister of Science and Technology, took place in the margins of the Summit. Both sides agreed on the **renewal of the EU-China co-funding mechanism for research and innovation for the period 2018-2020**, and on its application to future SME cooperation and to support start-ups. Both sides also confirmed their commitment to improving framework conditions, notably reciprocal access to Science and Technology and Innovation resources, and to promoting open access to publications and research. More information is available online.

The European Commission's science and knowledge service, the **Joint Research Centre (JRC)**, under the responsibility of Tibor **Navracsics**, Commissioner for Education, Culture, Youth and Sport, and the Chinese Academy of Sciences signed an overarching **Research Framework Arrangement**, building on their longstanding and fruitful cooperation in the field of **remote sensing and earth observation.** The objective of the agreement is to expand their collaboration and develop new scientific approaches in key areas, such as air quality, renewable energy, climate, environmental protection, digital economy, regional Innovation policy and Smart Specialisation. More information is available online.

Tourism:

The European Union and China signed an **Arrangement on the implementation of the 2018 EU-China Tourism Year**. Good progress is being made on preparation of the tourism year, which should promote lesser-known destinations, improve travel and tourism experiences, and provide opportunities to increase economic cooperation. This initiative also provides an incentive to make quick progress on EU-China visa facilitation and air connectivity.

Maritime affairs:

Representatives from the European Union and China signed in the margins of the Summit a **Joint Press Statement on the 2017 EU-China Blue Year**. As part of this EU-China Blue Year, a series of activities on ocean matters are taking place. These activities aim to foster closer ties and mutual understanding between European Union and China and highlight a strong China-EU maritime relationship.

For more information:

19th EU-China Summit website

EU-China relations factsheet

Frequently asked questions on EU-China relations

EU Delegation in China website

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